



Midea – Residentia Group

MN-01106

Phase 1 Determination

Acquisition may be put into effect

24 July 2026

1. Determination and statement of reasons

Notified acquisition	Midea Group Co., Ltd (together with its subsidiaries or affiliates, Midea) proposes to acquire a majority of the shares in Residentia Holdings Pty Ltd and its Australian business (together with its subsidiaries, Residentia) (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, Midea, is a major international technology group, organised into several divisions, including Smart Home, Industrial Technology, Building Technology, Robotics & Automation, New Energy, Healthcare and Smart Logistics. Relevant to the Acquisition, through its Smart Home division, Midea manufactures whitegoods and electronic household appliances, including dishwashers, cooking appliances, laundry appliances, air purifiers, fans, and portable air conditioning appliances. In Australia, Midea supplies whitegoods and electronic household appliances under its 'Midea' brand to retailers, as well as whitegoods and electronic household appliances on a 'white label' basis to wholesalers and a 'private label' basis to retailers. The target, Residentia, is a private company, founded in 2014 and headquartered in Melbourne, Australia. Residentia is active in the distribution of whitegoods and electronic household appliances across Australia and New Zealand. It supplies products under its own brands (Esatto, InAlto, Omega and Sôlt) and some third-party brands (Teka and Elica) to traditional retailers and commercial merchants. Residentia also (to a very limited extent) supplies private label whitegoods and electronic household appliances to retailers.
Overlap and relationship between the Parties	There is an overlap between Midea and Residentia (the Parties) in the supply of the following types of whitegoods and electronic household appliances under the Parties' and third party brands to retailers: microwaves, range hoods, portable air conditioners, dishwashers, built-in cooking hobs, dryers, ovens, refrigerators, washing machines, air purifiers, and cooling fans. The Parties also overlap, to a limited extent, in the supply of private label whitegoods and electronic household appliances to retailers. Midea is also a major supplier of white label whitegoods and electronic household appliances to Residentia.
Reasons for determination	When making a determination in Phase 1, the Australian Competition and Consumer Commission (ACCC) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's merger assessment guidelines and interim merger process guidelines.

	In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form and information from third parties. The ACCC has determined that the Acquisition may be put into effect as it considers that the Acquisition is unlikely to have the effect of substantially lessening competition in any market. In reaching its decision, and based on the material before it, the ACCC makes the following findings. • The increase in concentration in relation to each of the types of whitegoods and electronic household appliances supplied by the Parties under their own and third-party brands would be small and the merged entity would face competition from alternative suppliers of each of those products, including global suppliers with well-known brands. • There is minimal horizontal overlap between Midea and Residentia in relation to the supply of private label whitegoods and electronic household appliances to retailers and, post-acquisition, the merged entity would face competition from alternative suppliers. • The merged entity would be unlikely to have an ability or incentive to foreclose access by wholesalers and distributors to white label whitegoods and electronic household appliances given that the merged entity's business of supplying those products is larger than its business of supplying Midea-branded products, Midea would only have a part financial interest in Residentia, and customers could switch to alternative suppliers of white label whitegoods and electronic household appliances. • The merged entity would be unlikely to have the ability or incentive to foreclose rival manufacturers' access to wholesale distribution channels because Residentia is only a small customer of branded whitegoods and electronic household appliances in Australia and it already sources the majority of its products from Midea.
Applications for review	A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by Commissioner Williams pursuant to a delegation under section 25(1) of the Act